The UNDP reports that "during the most recent period of rapid growth in global trade and investment, 1960 to 1998, inequality worsened both internationally and within countries. The richest 20 percent of the world's population consume 86 percent of the world's resources while the poorest 80 percent consume just 14 percent".

12.7 India and Globalisation

The general idea of Globalisation in India is related to the integration of the national economy with the world economy. Hence, it underscores the opening up of the domestic economy to foreign direct investment (FDI) which requisites a conducive environment for foreign firms to invest in various fields of economic activities. This calls for the removal of restraints and barriers for allowing the entry of multinational corporations (MNCs) into the domestic market.

Activity

Identify the top ten MNCs functioning in India.

India's present ascendancy in the economic trajectories is a consequence of the New Economic Policy (NEP) which initiated a massive scheme of fiscal reforms following the 1991 financial crisis. It liberated the country from the shackles of the socialist model and reconfigured the domestic economic structure which helped improve the poor standards of living. The balance of payments crisis gave an impetus for a new economic discourse in the country which in turn led to policy development that embraced an export-friendly ecosystem along with the inflow of foreign capital. The crisis was a result of the soaring currency reserves which reached up to a mark of almost billion which took inflation to an upsurge at an annual rate of 17 per cent. Furthermore, the fiscal deficit was surging and an unstable economy reigned in.

The NEP, popularly known as the Liberalisation, Privatisation and Globalisation (LPG), that came up in July 1991, sought to transform the national economy to a globally competent and fast growing economy. Industry, trade and finance constituted the major sectors which underwent a dramatic change. The economic compulsions both at home and abroad necessitated a reorientation that would fasten the country with the global market on a rapid pace. As initiated in the 1990s, the most important measures taken up as part of the LPG can be summarised as follows:

The three industries reserved for the public sector are:

1. Arms and ammunition and allied items of defence equipment, defence aircraft and warships.
2. Atomic energy.
3. Railway transport

a) **Devaluation:** The foremost attempt towards globalisation was devaluating the national currency by 18-19 against major currencies in the foreign exchange market. The measure sought to help survive the balance of payment crisis.

b) **Disinvestment:** In a bid to boost privatisation, the government began selling the shares of the public sector undertakings (PSUs) to private players.

c) **Elimination of License Raj:** Doing away with industrial licensing constituted another strategy to boost the spirit of a liberal market. As a result, most of the industrial initiatives were exempted from license from the government.

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